Exercise 12.2 - Bad debts and financial statement disclosure

Non-GST version

The following transactions relate to Clover Landscaping Services owned by Rob Clover. The balance in the Allowance for Doubtful Debts account on 1 July 2023 was $4 464. The bad debts during the year ended 30 June 2024 amounted to $3 132. Debtors' balances on 30 June 2024 after the bad debts had been written off total $97 775, and a new allowance of 3% of debtors is required. (Ignore GST)

Required:
(a) Prepare and balance the Allowance for Doubtful Debts account for the year to 30 June 2024.
(b) Show how the above information would be disclosed in:
i. the statement of profit or loss for the year ended 30 June 2024.
ii. the statement of financial position as at 30 June 2024.
(LO3)

Suggested Solution:
(a)

Allowance for Doubtful Debts

2024			2023		
30/6	Accounts Receivable	$3 132	1/7	Balance	$4 464
			2021		
	*Balance c/d	4 265	30/6	Bad Debts Expense	2 933
		$7 397			$7 397
			2018		
	* ($97 775 × 2% = $2,933)		30/6	Balance b/d	$4 265

(b)

Clover Landscaping Services Statement of Profit or Loss for the year ended 30 June 2024 (extract)	
EXPENSES	
Bad debts expense	$2 933

Clover Landscaping Services Statement of Financial Position as at 30 June 2024 (extract)	
CURRENT ASSETS	
Accounts receivable	$97 775
Less: Allowance for doubtful debts	$4 265
	$93 510

2025. Further circulation disallowed.

214) The following summarizes the aging of accounts receivable for Johnston Supplies, Inc. as of July 31, 2019:

Number of Days Unpaid	Total Accounts Receivable	Historical % Uncollectible
Not yet due	$ 126,500	2%
1-30 days past due	89,200	12%
31-60 days past due	53,600	18%
Over 60 days past due	31,800	35%

Required:

Part a. The unadjusted balance of the Allowance for Doubtful Accounts of Johnston Supplies, Inc. is a credit balance in the amount of $28,947 on July 31, 2019. Prepare the required adjusting entry to record Bad Debt Expense for the year.
Part b. Johnston Supplies, Inc. writes off $3,081 of uncollectible accounts on August 15, 2019. Prepare the required adjusting entry to record the write-off.
Part c. Use a T-account to determine the account balance in the Allowance for Doubtful Accounts on August 15, 2019.

Answer:
Part a. Estimated amount uncollectible is calculated as follows:

Number of Days Unpaid	Total Accounts Receivable	Historical % Uncollectible	Estimated Amount Uncollectible
Not yet due	$ 126,500	2%	$ 2,530
1-30 days past due	89,200	12%	10,704
31-60 days past due	53,600	18%	9,648
Over 60 days past due	31,800	35%	11,130
Estimated Uncollectible			$ 34,012

Adjusted balance in Allowance for Doubtful Accounts (or estimated uncollectible) = Unadjusted balance in Allowance for Doubtful Accounts + Bad Debt Expense

Bad Debt Expense = Adjusted balance in Allowance for Doubtful Accounts – Unadjusted balance in Allowance for Doubtful Accounts

= $34,012 – $28,947 = $5,065

July 31	Bad Debt Expense	5,065	
	Allowance for Doubtful Accounts		5,065

Part b.

Aug. 15	Allowance for Doubtful Accounts	3,081	
	Accounts Receivable		3,081

2025. Further circulation disallowed.

Part c.

– Dr	Allowance for Doubtful Accounts		+ Cr
		28,947	Unadjusted Balance at 7/31/19
		5,065	Adjustment at 7/31/19
		34,012	Adjusted Balance at 7/31/19
Write-off on 8/15/19	3,081		
		30,931	Unadjusted Balance at 8/15/19

2025. Further circulation disallowed.

212) Twilight Company uses the aging of accounts receivable method to estimate Bad Debt Expense. The balance of each account receivable is aged on the basis of three categories as follows: (1) 1-30 days old, (2) 31-90 days old, and (3) more than 90 days old. Based on experience, management has estimated what portion of receivables of a specific age will not be paid as follows: (1) 1%, (2) 15%, and (3) 40%, respectively.

At December 31, 2019, the unadjusted credit balance in the Allowance for Doubtful Accounts was $80. The total Accounts Receivable in each age category were: (1) 1-30 days old, $52,000, (2) 31-90 days old, $8,000, and (3) more than 90 days old, $3,200.

Required:

Part a. Calculate the estimate of uncollectible accounts at December 31, 2019.
Part b. Prepare the appropriate adjusting entry dated December 31, 2019.

Answer:
Part a

Estimated uncollectible accounts = ($52,000 × 1%) + ($8,000 × 15%) + ($3,200 × 40%) = $3,000

Part b

The aging of accounts receivable method focuses on estimating the ending balance to be reported in the Allowance for Doubtful Accounts. To compute the amount of the adjustment, you must determine how much to increase (credit) the Allowance for Doubtful Accounts to reach the desired adjusted balance.

Ending balance in Allowance for Doubtful Accounts (or estimated uncollectible accounts) = Unadjusted credit balance in Allowance for Doubtful Accounts + Bad Debt Expense

Bad Debt Expense = Ending balance in Allowance for Doubtful Accounts – Unadjusted ending credit balance in Allowance for Doubtful Accounts

= $3,000 – $80 = $2,920

2025. Further circulation disallowed.